

Indian Railway Finance Corporation Ltd | IRFC | Financials

Incorporated in 1986, Indian Railway Finance Corporation borrows funds from the financial markets to finance the acquisition / creation of assets which are then leased out to the Indian Railways as finance lease

Key Performance Indicators

ROE %	ROCE %	NPM %	D/E	Rev CAGR 5yr	FCF (Cr)
13.04%	5.75%	24.06%	8.38	19.07%	7906.0

Profit & Loss Summary (Rs. Crore)

Year	Sales	Op Profit	Net Profit	OPM%	EPS
2017-03	9047.0	9021.0	934.0	100.0%	143.0
2018-03	9267.0	9229.0	2055.0	100.0%	3.0
2019-03	11134.0	11085.0	2255.0	100.0%	2.0
2020-03	13421.0	13355.0	3192.0	100.0%	3.0
2021-03	15771.0	15657.0	4416.0	99.0%	3.0
2022-03	20299.0	20177.0	6090.0	99.0%	5.0
2023-03	23722.0	23588.0	6167.0	99.0%	5.0
2024-03	26645.0	26513.0	6412.0	100.0%	5.0

Key Ratios Trend

Year	ROE%	ROCE%	D/E	FCF(Cr)	Rev CAGR
2019-03	9.01%	5.57%	6.95	-41747.0	12.43%
2020-03	10.54%	5.05%	7.74	-62700.0	14.1%
2021-03	12.3%	4.36%	9.0	-89907.0	16.01%
2022-03	14.85%	4.7%	9.47	-64417.0	17.54%
2023-03	13.8%	5.08%	9.38	-28588.0	20.68%
2024-03	13.04%	5.75%	8.38	7906.0	19.07%

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Balance Sheet Summary (Rs. Crore)

Year	Equity	Reserves	Borrowings	Total Assets
2019-03	9380.0	15648.0	173933.0	206604.0
2020-03	11880.0	18419.0	234377.0	275504.0
2021-03	13069.0	22845.0	323145.0	380482.0
2022-03	13069.0	27928.0	388440.0	449980.0
2023-03	13069.0	31612.0	418935.0	490359.0
2024-03	13069.0	36110.0	412039.0	485082.0

Cash Flow Statement (Rs. Crore)

Year	CFO	CFI	CFF	Net Cash
2022-03	-64412.0	-5.0	64266.0	-151.0
2023-03	-28588.0	0.0	28644.0	56.0
2024-03	7914.0	-8.0	-8046.0	-140.0

Capital Allocation Pattern

Reinvestor

Strengths

- + Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- + Operating profit margin above 25% indicates strong pricing power and cost discipline
- + Net profit compounding at above 20% over 5 years creates significant shareholder value
- + Consistent dividend yield above 2% backed by positive free cash flow

Concerns

- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital